IREN (IREN) | Earnings Brief

Fiscal 1Q FY27 (quarter to 30 September 2026) | 6 November 2026

Prepared by Josh for CK, Third Prime. Post-call version. Treat as a strong first draft.

Executive snapshot

Consensus thesis. A former miner with owned power becoming a GPU cloud, with over $4bn of contracted ARR for 2026 capacity, where the market pays for the contracts but doubts the funding.

Thesis status: Monitoring. **Versus expectations.** Quarter: in line to slight beat (revenue $228mn vs $221.3mn consensus, EPS -$0.66 vs -$0.665; both single-source, Equibles 17 Oct). Outlook: below (over $4bn ARR moved from December to January, possibly February; about $250mn of December-quarter revenue implied, plus residual mining, vs $392mn consensus).

Biggest changes

- Over $4bn ARR target moved from year-end to January, possibly end of February, after a Microsoft network change across 200 MW and supplier timing.
- December quarter implied near $250mn of revenue, plus any residual mining (a quarter of $1bn ARR, no material new Horizon or Mackenzie capacity), against $392mn consensus dated 17 October.
- FY27 capex plan cut: about $5bn spent plus about $15bn remaining, or near $20bn, against $25bn to $30bn in August.
- New contracts at about $22mn per IT MW-year on five years and over $40mn on a short term; prepayments reach up to 90% of GPU capex.
- Net debt rose from $216mn to $4.43bn in one quarter; parent-guaranteed GPU debt priced at 9.0% and 9.51%.

Investor takeaway. The consensus view should shift from timing to funding: the $4bn ARR target slipped one to two months and December-quarter consensus needs to fall by about a third, but cutting FY27 capex by $5bn to $10bn and raising contract prices lowers the funding risk the stock had been pricing, while credit quality holds rather than improves as net debt jumps to $4.4bn.

Monitor next quarter

- Operating ARR and Horizon 2 to 4 acceptance dates by end January.
- How the $6bn target funding closes, at what price, and ATM use with the stock near $21 (post-quarter sales averaged about $36).
- Tenant, MW and term on 2027 contracts; operating margin as AI revenue ramps.

Pillar scorecard

Pillar	Market assumed	Quarter showed	Verdict	Source
P1 ARR live on time	Over $4bn by December; $392mn next quarter	$1bn at 30 Sep; target January, may run to February; Microsoft-requested changes carry no delay credits, revenue still later	Challenged	Release; call; 10-Q
P2 Funding gap closes without heavy dilution	$14bn secured, $8bn targeted, of $25bn-$30bn	$15bn remaining: $9bn in hand, $6bn targeted against $12bn-$15bn indicative sources. Shares +7.0% QoQ, +4.3% more by 30 Oct	Unresolved	Release; call; 10-Q
P3 2027 capacity contracts	Late-stage talks cover much of 2027	Backlog $20.3bn, +22% QoQ; post-quarter 5-year and short-term contracts, a lab expansion, H100 recontracts; 2027 mix not guided	Unresolved	Release
P4 Pricing holds	Above $20mn per IT MW	Post-quarter $22mn on 5 years, over $40mn short; in-quarter 3-year $19mn-$23mn, 5-year about $17mn; pricing +11%, +12%	Confirmed, mixed	Release
P5 Depreciation and returns	GPU life about six years	Operating margin -82% vs EBITDA 29%; life in years not found in the 10-Q	Unresolved	10-Q

Key KPIs

Metric	3Q26	2Q26	3Q25	QoQ / YoY	Trend
Revenue, $mn	228	137	240	+66% / -5%	[↑]
AI cloud revenue, $mn	200	71	7	+182% / n.m.	[↑]
Adjusted EBITDA, $mn (margin)	66 (29%)	19 (14%)	92	+15pp margin	[↑]
Operating loss, $mn (margin)	-186 (-82%)	-620 (incl. $450mn impairment)	-76	distorted	[?]
Operating AI capacity, MW	93	about 41 (derived)	n.a.	+127%	[↑]
Operating ARR	$1bn	about $0.5bn ("doubled")	n.a.	+100%	[↑]
Backlog	$20.3bn	about $16.6bn (derived)	n.a.	+22%	[↑]
Capex, cash, $mn	4,824	1,978	280	+144%	[↓]
Finance expense, $mn (% revenue)	73 (32%)	24 (18%)	9	+204%	[↓]
Net debt, $mn	4,430	216	n.a.	up 20x	[↓]
Recourse / non-recourse debt, $mn	8,061 / 1,980	6,768 / 938	n.a.		[↓]
Shares outstanding, mn	406.9	380.2	282.9	+7.0% / +43.8%	[↓]

Guidance

Metric	Guidance	vs. prior	vs. consensus	Management explanation	Analyst read
Over $4bn ARR	January; may run to February	Lowered (was by 31 Dec)	Below	Microsoft network change on 200 MW, supplier timing	No delay credits owed; revenue slips, contracts do not
December-quarter revenue	None; a quarter of $1bn ARR, no material new capacity	New signal	About $250mn plus residual mining vs $392mn (derived)	Ramp in early 2027	Consensus should fall; FY27 $2.81bn at risk
FY27 capex	About $15bn remaining	Lowered (about $20bn total vs $25bn-$30bn, derived)	No consensus	Financial markets, not demand	Credit-positive, delays growth
Capacity	0.8GW by end 2027	Maintained	n.a.	Six sites building	Not all contracted

Top risks

Risk	Prior	Current	Direction	Implication
Delivery and tenant changes	Elevated	Elevated	Up	Microsoft changes extend dates: no credits owed, but revenue starts later
Funding and refinancing	High	High	Mixed	$723mn due in rest of FY27, $1.06bn in FY28; $6bn still targeted
Concentration	Elevated	Elevated	Stable	Top three 70% of revenue, unnamed in filing

Analyst focus. Analysts focused on the Microsoft change and credit mix; no one pressed depreciation.

Monitoring and Kona

Signals: Operating ARR at 31 January; Remaining FY27 capex against closed funding; Share count against the ATM; Prepayment share on new contracts; AI cloud operating margin.

Read-across for Kona. IREN's newest contracts show a tenant can fund up to 90% of GPU capex by prepayment, which sets the opening ask if Kona owns GPUs. Its 9.0% to 9.51% parent-guaranteed debt is the price of non-investment-grade GPU money, likely a floor for Kona. IREN's contract protects it from delay credits when Microsoft asks for a change, yet revenue still starts late; Kona should copy that clause and also seek payment for time lost to tenant changes. Staging capex with cheap land options is the behavior to copy.